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COMPANY DEEP-DIVE

Senior Director, Strategy and Operations at Walmart Believes AI Integration Will Transform Retail Customer Care and Media Revenue Models

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
20 Oct 2026	06 Oct 2026	Consultant	Investor-Led (Buy-Side)	SIERRA.AI

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SMART SUMMARY

Summary

The interview discusses the integration of AI and personal agent platforms in retail, focusing on customer journey automation, cost implications, and the evolving role of affiliate fees and retail media as these technologies develop.

EXPERT BACKGROUND

- Senior leader with several years of experience in AI, product, and business development, focusing on automation in customer care and operations for a major mass merchant retailer.

EXPERT SENTIMENT

- Believes **that automation and AI-driven customer care will increasingly reduce the need for traditional customer support interactions**, especially for simple queries.
- Views partnerships with personal agent platforms as early-stage, with current impact on operations and revenue **still minimal** but potentially significant as adoption grows.

TAKEAWAYS

- The retailer uses AI solutions for both pre-purchase (discovery) and post-purchase (customer care) experiences, with different platforms handling each stage.
- Personal agent platforms like Muse are being integrated for product discovery, but full agentic checkout is not yet live; current partnerships are commitments to future integration.
- **Direct API connections between personal agents and retailer accounts can bypass traditional customer care solutions, reducing costs and increasing efficiency for simple queries like order tracking**.
- Affiliate or referral fees for agentic checkout are expected to be single-digit percentages, likely lower than traditional marketplace referral fees due to higher purchase intent.
- Currently, referral traffic from LLMs and personal agents is very small and not material to overall retail media revenue, but retailers are preparing for potential future shifts in customer behavior.

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Expert Bio

Senior Director, Strategy and Operations at Walmart. The expert can speak to leading AI acceleration and agentic commerce strategy at Walmart, including supervising Sparky, LLM partnerships with OpenAI and Google Gemini, and retail connector partnerships with Muse. Additionally, the expert can speak to the top purchasing criteria, selection, and deployment of enterprise AI solutions—such as serving as a major enterprise customer for Sierra AI, evaluating platforms like Decagon and ElevenLabs, and utilizing Pactum and Lio for procurement—while navigating data ownership, customer relationship dynamics, and retail media opportunities in multi-agent landscapes. Senior Director, Strategy and Operations at Walmart. Reporting to the Vice President, the expert is responsible for overseeing artificial intelligence acceleration and tools for corporate functions, including the modernization of the procurement technology stack and vendor engagement

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within the artificial intelligence procurement space. The expert has direct authority over major vendor evaluations and strategic purchasing decisions for end-to-end procurement automation. Prior to Walmart, the expert was a consultant at The Boston Consulting Group, leaving in June 2014. Reporting to the Partner, the expert was responsible for driving strategic growth initiatives, corporate development strategies, and management consulting frameworks for corporate clients. The expert is a current customer of and has implemented Coupa (for United States source-to-contract and procure-to-pay operations) and SAP Ariba (for international markets, including Canada, Mexico, and China). Additionally, the expert has implemented and currently utilizes Lio for agentic procurement and Pactum for artificial intelligence negotiation, while actively engaging with Beroe for supply market intelligence and Cirtuo for strategic sourcing. The expert can speak to the comprehensive vendor evaluation and selection process within the artificial intelligence procurement lifecycle, specifically regarding the decision to move forward with Lio over competing platforms such as ZipHQ, Omnea, and Level Path.

Interview Transcript

Client 00:00:00

We are doing interested n on the personal agent space and wanted to talk to you given your role at Walmart. Also, our understanding is that you guys are also a customer of Sierra from a CX perspective. Maybe it would be helpful to start probably high level, if you could give me a bit more detail on your background and role at Walmart, and we can go into your personal agent strategy, and then go from there.

Expert 00:00:26

I have been with Walmart, focusing on AI, particularly from a product and bizdev perspective for the last couple of years. Automation is a big part of the focus of my team, and primarily focus on things like customer care, back-end operations, store operations, things that are not customer-facing necessarily but that have a great potential to be automated with AI. To your point, as you mentioned, Sierra is our customer care AI solution. We have been working with them for about a year. We think what they have is very unique, in that it really helps you automate and frankly improve the experience of the customer on the post-purchase side of the customer journey.

When you call the customer care line, depending on the topic and the initial selection that you make, it is very possible that you would be routed through Sierra. There is also the customer care chat side, which they might be helping with as well over time. That is on the post-purchase side of things. I think on the pre-purchase, on the discovery side, there are personal agents that have been around for quite some time. This is the latest one, and we have announced a partnership with them, I think about last week or two weeks ago, through the Meta Connect. That is really exciting. We have had our share of tests and trials with OpenAI, with Gemini. That is not a new development. That agentic shopping discovery experience and agentic checkout has been around for a while.

Client 00:02:00

Got it. Let us just walk through a customer journey and break down the platforms that you guys are currently using. I do not know if you guys want to use a Walmart+ customer or just an everyday shopper who is browsing or looking for something on walmart.com or on the app. Walk me through how Muse plays in on the discovery side now, bringing that through to checkout, and then the post-purchase journey, because it sounds like Sierra is only in the post-purchase world today. Muse is on the front end, touching the consumer demand piece. I want to better understand the payments and checkout piece as well.

Expert 00:02:38

I think that is a good idea. The Walmart customer has several options how to access Walmart, what we call the front door. I think that is a fairly common concept in retail, what is the front door that you are going to use to discover and shop on Walmart? Many retailers outside of Amazon have chosen the strategy of multiple front doors. Meaning retailers are going to partner with OpenAI, with Gemini, and with other Muse for discovery, and they are going to essentially connect to Muse, to OpenAI, and to others, share APIs. Muse can essentially ping Walmart or any other retailer. It can essentially connect through the browser and help you make the purchase. That is front door number one.

Front door number two is the agents we are building ourselves. Walmart has, for quite some time, been building its own Muse called Sparky, that only lives within the Walmart app and the Walmart website. That is really a version of Rufus, which is what Amazon has been building, which is their only front door. We want to give the customer choice. We believe that the customers will have different ways of accessing and discovering Walmart products, whether it is through Muse or through Sparky on our app, on our site. That is really how they discover and access the Walmart surface.

Now, in terms of what Muse versus what OpenAI, Gemini, and Sparky can do, it has evolved over the last 12, 18 months. You might remember the OpenAI partnership from 2024 was designed to really lead all the way to agentic checkouts. There were reports online at the time that **the conversion rates were very bad and subpar on these purchases**, primarily because OpenAI did not create as good of an experience as we can see on a retailer surface. That entire agentic checkout went away, and now they are much more of a discovery engine, no longer allowing you to check out. From payment and from checking out perspective, that is very much owned by the retailer, whether it is Walmart, Best Buy, by Shopify, and it is ultimately the retailer that still owns the customer relationship.

I would know that if you have tried using Muse to shop, you would see that even if you try to shop on Best Buy or Walmart, you are still going to get message that there is a lot of blocking going on around being human or non-human when the retailer is not allowing the Muse

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to actually connect and complete the checkout. I would say that the announcement from last week is more of a commitment and it is not live yet. It is certainly a commitment to work together. Once it is live, you would actually be able to fully check out through Muse, by giving her the information, the same way you can do that with Sparky on the Walmart site.

Once you place the order on the Walmart surface, you essentially get the post-purchase experience. That's where, whether it is a human customer care team or it is Sierra, if that is a solution that the retailer uses to automate its customer care, there is going to be essentially a solution that the Muse or the other agents can contact or access. The question is, how much of that is the retailer going to automate with APIs so they do not actually ever have to talk to Sierra versus how much of that is going to be actually agent talking to agent?

Client 00:06:13

Can you expand on that last part? Post-purchase, you are trying to assess the protocol that a Muse agent can contact Walmart, and it did not appreciate, what do you mean, it would touch a Walmart API versus talking to your Sierra agent. You guys would build out your own separate protocol to talk back to those agents instead of routing it through Sierra?

Expert 00:06:34

I think it is going to be less of what the retailer wants and more where both sides are going to land. What Muse wants is they want to be a strategic connect. They want connectors. They do not want to just access through the browser and then be completely told that "Hey, you are not a human, you cannot access." They want APIs to connect to as many websites as possible. Those APIs could potentially allow the retailer to answer simple questions like, "Hey, where is this customer's order?" Most of the customer care contacts, believe it or not, center around, "Where is my order?"

The customer has two options. They can tell Muse, "Hey, Muse, can you contact Walmart? Can you call Walmart and ask where my order is?" In which case, it would default to Sierra. Now the retailer is going to pay Sierra because Sierra is now having to talk to Muse, or **which is a much cheaper, potentially cheaper solution, and more efficient**, Walmart could just, through those strategic connections, build APIs that allow Muse to actually ping the retailer and ask, "Hey, where is the customer's order?"

Muse could get that information that way, and it could completely circumvent the customer care team or Sierra or whoever is on the customer care side, whatever requires a phone call right now. I think that is the distinction, and that is what is going to impact how much I think you are going to use customer care teams in the future, because a lot of these simple questions and asks could be solved via API without necessarily contacting customer care.

Client 00:08:19

Since we just did on this example, I have a few follow-up questions. If we think about this, in the case of **you guys building your own API into Muse on the back end, how much lift or work** is that versus the work you have invested to building out your operating procedures in Sierra already to automate and answer some of these basic questions?

Expert 00:08:39

I am not sure I understood the question. Would you mind trying again?

Client 00:08:47

In the case of you guys building directly into Muse, like to allow a Muse agent to answer the question, "Where is my order?" versus pinging Sierra, how much work is that for you to build those operating procedures for Muse versus you have already built those operating procedures into Sierra?

Expert 00:09:06

I do not think there is any building required. It is a simple API. Essentially, what you are doing with Muse has access to the customer's account. That customer's account has your orders. It also has information into the tracking and where your order is and the status of your orders. Do not think about it as necessarily, at least in the retail concept, as any engineering work required for the retailer. It is more just APIs into basically what is called strategic connectors. That is the word Muse uses in a lot of the publications. It is all about how can they get as many APIs as possible so that they do not get blocked as they are trying to access your account if you are trying to use them. It is permissioning, not engineering work.

Client 00:09:57

Got it. You are saying all Muse would need access to is the customer's Walmart account to track the order?

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Expert 00:10:05

If you are talking about a retailer use case, absolutely.

Client 00:10:09

Got it. For you guys, it seems like there is a huge delta in cost there, because if it is hitting Sierra's agents for Walmart, they are taking a cut of the per resolution or containment. They are pricing on a containment. The containment and the number of queries hitting Sierra, in theory, would rise. The containment success, I would imagine, on a basic query like that would be high. Is that what you are saying there?

Expert 00:10:37

I actually think it is the other way around. All of this is happening completely outside of Sierra.

Client 00:10:45

In the case where you build direct, you also said there is a world where Muse may talk to the Sierra agent for customer support, post-purchase support.

Expert 00:10:53

Yes, exactly. I do not think it is rising. That is just what is happening right now. That is steady state. Right now, it is either I have to call Walmart customer care or Muse is going to call customer care. That is not going to rise. That is just current state. It is just who is going to do the calling. In a world where you have many more connections and permissioning, there is going to be fewer calls.

Client 00:11:27

You guys may be unique at Walmart in this example, where you may have fewer calls because Muse can connect into the customer's account with the retailer directly, where this is a pretty simple ask for an agent, versus other more complex customers may still require Muse to connect to their customer support agent platform to answer some of the queries. It sounds like there is also a material cost delta to Walmart as well, whether it is Muse connecting straight into your customer account versus Muse pinging Sierra, your Sierra agent, to answer the question. Is that accurate?

Expert 00:12:00

There is a lot said in there. I think you are asking really good questions. I do not think that Walmart is unique in what the customer care contacts look like. I think that is pretty standard in retail. The majority of the customer care contacts are about, "Where is my order?" I think in the retailer use case, I do not think that the situation will vary by that much. I think that's one. To your point, in other industries, like when I think about B2B, it could certainly be different.

I think your second question, there is a cost differential. Yes, of course, if you can go outside of Sierra or any customer care, this is not just about Sierra, it is about any, you are bypassing Walmart customer care altogether, then yes, it will be more efficient and cost-effective if Muse can just get the answer by pinging an API. That is the concept they are trying to build with all these partnerships. They have Shopify, Best Buy, Target, all of their retail partnerships.

Client 00:13:09

Got it. Could we maybe take a step back and talk a little bit more about the payment transaction? In your partnership with Muse, if they are helping execute the payment going forward as you guys deepen the partnership, is there an expectation that they are taking a cut of the economics?

Expert 00:13:25

I think that they expect, once the integrations are more agreed upon, to potentially get a cut. I think they have been pretty open about that, they being Muse. Same way OpenAI tried to take this agentic checkout. Think of it as an affiliate fee. They are going to take a small, single-digit percentage. How much that is, that it will all be, I think, negotiated between the retailers over time.

If you try to do shopping on Muse today, **it is very clunky and frankly not very good**, because you get a lot of the blocking still. Being asked whether **you are a human or not, and then getting basically shut off from the site**. It is a commitment to work together to build those connections. It is not something that works really well right now. I think the expectation is that they are going to take an affiliate fee essentially on every transaction. I think that is what they would like it to be.

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Client 00:14:25

Got it. When you say affiliate fee, are you thinking of comping it to a traditional Rakuten-Honey-style affiliate fee that retailers typically agree to pay, or are you thinking it is going to be lower than that because the intent from the consumer is higher around the query or the ask to the agent is generating the transaction? We have spent time in the affiliate space as well. That is always a little bit gray because it comes up when a user is already on the webpage and on a brand site, on a retailer site, and adding items to their cart, and then they get the pop-up for 10% cashback if they check out with the Rakuten plugin.

I am trying to isolate on better understanding that for agentic payments as a whole in the industry. In my own personal use of Muse or Instacart, your intent is a lot higher than browsing a retailer's website, because you are usually asking for something very specific. My hypothesis would be the affiliate take rate to a Muse should be lower. Would appreciate your insight as to how you are thinking about it from the retailer lens.

Expert 00:15:34

There are a couple of comps that I would look at. I think Amazon's referral fees are somewhere between 8%-15%. Not familiar with Rakuten or Honey. To your point, I think the last precedent **I saw, there was a leak**, if you remember, in January, I think it was, Shopify essentially and OpenAI announced that their agentic checkout fee is about 4%. That is a good comp and I think precedent Meta is going to look at your point, it is smaller than the referral fees that you would see in marketplace. I think it is going to be single-digit percent, and it could probably be even lower than the 4%, given, to your point, the high intent to purchase.

Client 00:16:18

Got it. In terms of an overall impact to your customer support strategy, could you maybe just walk me through how **you are thinking about volume impact to Sierra** and maybe use case impact to what you guys are using Sierra for?

Expert 00:16:34

We have not frankly spent time thinking about that, the Muse relationship and the announcement was like a wake me call. I think it is more a question for them, frankly, than for us. I would expect, again, it is customer care post-purchase. What happens is going to depend on how many of these connections retailers are going to build and how quickly. It is going to depend on are people going to actually adopt these personal agents. I do not have anything more to say on that front. We have not spent time thinking about it. I think it is very soon to say how big can this get.

Client 00:17:13

Is there anything else we have not talked about that you think would be helpful for us to know as we are doing research on this space?

Expert 00:17:21

I get a lot of questions around, does Sierra help you sell more products? I would maybe suggest also talking to other types of players, not just the traditional mass merchant retail. One that is more personalized actually has the power to use Sierra, not just for, "Hey, where is my order?" and more for, "Hey, can **I actually drive more revenue and sales by trying to upsell people**?" and actually use Sierra to sell more products versus just be on the reactive side, on the post-purchase side.

I think that is where you are going to see a little bit more of the dynamic that you are looking for, which is, is it Sierra or is it Muse? If I am actually trying to purchase a product, and here, I may need to be choosing between talking to Sierra, who may sell me the product, or Muse to ask Sierra or the retail to sell the product, if you know what I mean. It is going to be less differentiate between pre-purchase and post-purchase.

Client 00:18:16

It sounds like Sierra had made an announcement last week or the week before that they are also moving beyond customer support with the agents that they build. Is your point is your strategy at Walmart just not going to use Sierra on that pre-purchase side but other retailers or customers may?

Expert 00:18:34

I think mass merchant retail is all about volume and not necessarily about making it self-serve, shopping for things you have ordered before, making the shopping as easy as possible. It is going to be less about, I think, what you are describing and what they have described, the open protocol, which is allowing for me personalized shopping assistant. I think B2B customer sales, **which is where there is more opportunity**. In mass merchant, your success is that the customer does not actually have to talk to a customer care or an agent to find what they need. **It is so easy to get to reorder** something or to even get something delivered before you know you need it. I think that is what success looks like in the long term, especially in grocery.

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Client 00:19:23

I can appreciate your growth is not really tied to personalization, it is tied to selling more units in store and online and squeezing margin from the brands that have product wholesaled through your store, whether it is on the grocery side or not. I would imagine you guys are focused more on AOV increasing, like what brands actually increase AOV size for your customers.

The only other question I have is around the discovery piece. I know the partnership is early with Muse, but have you guys thought through any strategy impact from a marketing and advertising perspective as to how a product from Walmart versus a product from Target gets surfaced in an agent request, to be purchased? If a consumer is saying, "I want to replenish my order of paper towel for my kitchen," how do you guys think about discoverability? They could buy it from Target, they could buy it from Walmart and get it shipped. Have you thought through any of that yet on the pre-purchase journey?

Expert 00:20:19

I get that question a lot, and today the referral traffic from LLMs is so small that frankly, just rounding error is immaterial. People do not actually really enjoy, despite how much buzz there is around that. People do not actually enjoy that experience as much because, and you said it earlier, people enjoy building baskets, especially in grocery, and majority of mass merchant sales are in grocery. You are rarely just buying one thing in grocery. When you look at referral traffic for most retailers, it is less than 5%. OpenAI can be maybe 10% of the 5%. Think of that as being very small amount of traffic these retailers get and that **they would have to be worried** about.

Now, let us assume that we fast forward and somehow customer behavior change, and now they love to shop through these LLMs, and these LLMs figure out how to build baskets. I think that there is different ways that the retailers will protect themselves. One is that they build their own personal agents, and the personal agents will allow them to actually serve retail media. Instead of actually placing the retail media inside search, you can place it inside a personal agent, whether it is Rufus or Sparky. It works the same way. It is just a different surface.

If it is not through the personal agent, then even inside the LLMs, you could think of, "If the retailers decide to not block and allow these LLMs to actually access them and to be able to connect to their catalogs, you can assume there is going to be some retail media sharing." I do not think there is a scenario where the retailers will not want some benefit from the retail media revenue that is going to take place on those surfaces, in those chats.

Client 00:22:13

Got it. I missed the numbers. You said OpenAI is 7% of overall traffic. What was the number before that? It was 5%-7%? I missed that one part.

Expert 00:22:28

You can probably look at Comscore what the most recent data looks like. If you look at referral traffic, which is how much traffic comes from these different affiliate websites or which LLMs are part of or considered to be part of, it is about 5% for most retail or about that. LLMs can be maybe 10%, 15% of the 5%. There is a lot of data out there, which you can see it will vary, but it will all be very small in terms of percent of total traffic. Right now, the majority of the traffic that is coming to these retailer websites is not from LLMs. You are not really worried about necessarily losing or creating a big dent in the retail media revenue, which is, I think, what you were asking about.

Client 00:23:16

Right now, most of your retail media revenue is coming from search placements?

Expert 00:23:22

I think for most retailers, it is going to be in search placements. That is really bread and butter in retail media. I think that over time, long term, you see CTV playing a bigger role as people move towards video, short videos. Those are the faster-growing formats. Today, most of the retail around some kind of search ads.

Client 00:23:46

I do not think I have any other questions at this time. This has been helpful. Appreciate you taking the time.

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